kredz.xyz

AI Credit Scoring on Base Network

Strategic Analysis · Product Blueprint · Competitive Landscape

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Your onchain reputation, your real-world identity, scored by AI — so you can borrow on Base without locking up more than you borrow.

01 — Core Thesis

kredz.xyz sits at the exact inflection point where three converging trends meet: Base is becoming the compliance-native L2 (Coinbase Verified Pools, March 2025), DeFi credit is still mostly overcollateralized and exclusionary, and AI can now score thin-file and unbanked users using behavioral data.

The gap is a **portable, privacy-preserving credit score anchored on Base** that unlocks undercollateralized lending across the entire Base DeFi ecosystem.

Base Compliance-native L2 Coinbase KYC already live	**DeFi Credit** Over-collateralized & exclusionary today	**AI Scoring** Thin-file users can now be scored behaviorally

02 — Competitive Landscape

Competitor	What They Do	Weakness vs kredz.xyz
Cred Protocol	Realtime onchain credit scoring across Ethereum, Base, Polygon, Arbitrum. Scores wallets even without borrowing history.	Pure onchain signal only — no off-chain KYC, no financial literacy layer
Centic	Merges on-chain and off-chain data for a Web3 scoring system.	Not Base-native; no AI agent layer; no user-facing product
Krebit	Reputation layer + Verifiable Credentials for Web3 identity.	Identity-focused, not credit-focused; weak underwriting signals

Spectral Finance	MACRO score derived from DeFi loan history.	Requires existing DeFi borrowing history — zero access for new users
Credolab	Alternative credit scoring using device and behavioral biometrics for thin-file borrowers.	Fully off-chain; no Web3 integration; centralized data model
Coinbase Verified Pools	KYC-verified DeFi liquidity pools on Base requiring identity verification before access.	Infrastructure, not a score — it gates but doesn't score or underwrite

The Gap kredz.xyz Fills: No player combines Base-native deployment + AI multi-signal scoring + ZK-KYC + financial literacy as a score-builder. That trifecta is the moat.

03 — The AI Scoring Engine

kredz.xyz should build a **three-layer signal model** fused by AI into a single **KREDZ Score (0–1000)** that updates continuously with each new onchain block and each new attestation.

Layer 1

Onchain Signals
Base + cross-chain transaction history: wallet age, asset diversity, DeFi protocol interactions, repayment behavior, liquidation history. Even addresses without borrowing activity can be scored based on onchain behavior. This is table-stakes — where Cred Protocol already lives.

Layer 2

Verified Off-chain Signals (ZK-KYC)
The differentiator. ZK proofs let users attest to real-world attributes — income band, employment status, bank account history — without exposing raw data onchain. The score reflects the attestation, not the data. Worldcoin, Polygon ID, and Chainlink ACE all validate this architecture.

Layer 3

Behavioral + Financial Literacy
The truly novel layer. Users who complete verified financial literacy modules earn score points. Completion rates, quiz accuracy, time-on-task, and improvement curves are predictive of repayment discipline. This is also the user acquisition engine: people come for education, stay for the score.

04 — KYC Architecture (Tiered ZK-KYC)

The tension in DeFi KYC is real: KYC opponents argue it undermines DeFi's openness, while proponents argue it prevents illicit activity. kredz.xyz dissolves the tension with a **tiered ZK-KYC model** — privacy is the default, compliance is opt-in by tier.

Tier	Identity Level	Score Range	What It Unlocks
Tier 0	Anonymous — pure onchain behavior	0 – 400	Micro-lending only
Tier 1	Pseudonymous Attestation — ZK proof of one real-world attribute (age, country, wallet-to-person binding)	0 – 650	Mid-tier lending access

Tier 2	Full KYC-Lite — Coinbase Verifications credential or partner KYC provider	0 – 1000	Full lending access + institutional pools

Critical design rule: KYC data is never stored onchain. It lives in a ZK vault with the user owning the keys. kredz.xyz only reads the credential output — not the raw data.

05 — Financial Literacy as a Moat

Most of Base's user base is new to DeFi — thin-file by definition. Traditional credit scoring cannot score them. Financial literacy modules solve the cold-start problem while building a durable competitive moat that pure-onchain competitors cannot easily replicate.

- **Score-building for zero-history wallets**: A new user with no DeFi history can build a KREDZ score from zero by completing structured modules on DeFi mechanics, risk management, and responsible borrowing. Completion rates and comprehension scores are predictive of repayment discipline.
- **Retention and engagement loop**: Users return weekly for new modules, pushing score higher, unlocking better loan terms. This is the credit-builder SaaS model — but onchain.
- **Data flywheel**: The more users complete modules, the more behavioral training data the AI model accumulates, improving predictive accuracy over time.
- **Regulatory goodwill**: Regulators globally are warm toward platforms that demonstrably improve financial capability. This is a genuine compliance argument, not greenwashing.

Module topics: Wallet security, DeFi lending mechanics, liquidation risk, stablecoin basics, gas fee management, and credit behavior principles.

06 — Market Sizing

Layer	Size	Notes
TAM	$22B+ by 2030	Global alternative credit scoring market
SAM	~2–5M active wallets	Base ecosystem users needing credit access, growing 40%+ YoY
SAM (global)	~300M+ users	Global unbanked/thin-file crypto users (World Bank + crypto adoption data)
SOM (Yr 1)	50K–200K scored users	Achievable with Base grants + ecosystem protocol integrations

07 — Revenue Model

Score API (B2B) **$0.10–$0.50/query**	Charge lending protocols per credit score query. 10 Base lending protocols x 10K queries/month = $10K–$50K MRR from day one. Stronger differentiation than Cred Protocol through KYC and literacy signal layers.

Premium User Tier (B2C) **$5–$10/month**	Free base score, paid tier for score history, drill-down analytics, score improvement coaching, and priority KYC processing. The Credit Karma model — onchain.
Financial Literacy Marketplace (B2B2C) **$1K–$10K/month per integration**	License the education module infrastructure to DeFi protocols, wallets, and TradFi neobanks who want to responsibly onboard new crypto users. White-label SaaS.

Conservative Year 1 ARR: 100 B2B integrations + 20K premium users = ~$500K–$1.2M ARR

08 — Go-to-Market on Base

Base is the ideal launch chain: Coinbase KYC infrastructure is already live, it has a large retail user base from Coinbase, and an active developer grant program. The regulatory narrative (compliance-native L2) is Coinbase's core positioning for 2026.

1	**Ship MVP Score Engine** Deploy pure onchain scoring on Base testnet. Get feedback from 3–5 Base lending protocols (Morpho on Base, Seamless Protocol, etc.).
2	**Apply for Base Ecosystem Fund** The financial inclusion + KYC compliance narrative is exactly what Coinbase wants for regulated DeFi expansion.
3	**Integrate Coinbase Verifications** This is a one-call integration. Immediately activates Base's entire verified user base as Tier 2 KYC holders.
4	**Launch Financial Literacy Beta** Gamified score-building distributed via Base community, Farcaster, and Twitter/X.
5	**B2B Protocol Integrations** Pitch Base lending protocols with a free tier for first 10K queries. Get embedded into loan origination flows.

09 — Regulatory Positioning

Under MiCA in the EU and the GENIUS Act in the US, more KYC-gated wallets, permissioned pools, and compliance-first protocols are expected by 2026 — allowing banks and asset managers to operate onchain while meeting AML, sanctions, and suitability obligations. kredz.xyz should position itself as **the compliance credit middleware layer** any protocol needs to operate in this environment.

- Align with MiCA (EU), GENIUS Act (US), and FATF Travel Rule — all moving toward compliance-native DeFi
- For Indonesia: align with OJK's POJK 22/2023 (digital credit scoring) and apply to OJK Innovation Center (INOVASI) sandbox

• ZK-KYC model is explicitly designed to satisfy AML/KYC obligations without on-chain data exposure

• Coinbase Verifications integration immediately satisfies regulatory gating requirements for institutional lending pools

10 — Second Brain Verdict

Idea Strength	Market Timing	Execution Feasibility	Base Ecosystem Fit
8.5/10	**9/10**	**7/10**	**9.5/10**
Real gap; three-layer model is genuinely differentiated	Coinbase Verified Pools + GENIUS Act = 2026 is NOW	ZK + AI + KYC is hard, but each piece is off-the-shelf	Coinbase KYC infra + Base grants + retail user base

Key Risks to Mitigate
ZK-KYC Layer: Must be genuinely private — sophisticated users will not trust a "ZK" solution that leaks metadata. Invest in proper ZK circuit audits.
Cred Protocol expansion: They can add a KYC layer. Move fast on Base Grants application and the literacy layer — those two are the clearest differentiators Cred Protocol cannot easily replicate.

11 — ERC-8004: The Infrastructure Layer kredz.xyz Should Build On

ERC-8004 ('Trustless Agents') went live on Ethereum mainnet on January 29, 2026. Authored by engineers from MetaMask, Ethereum Foundation, Google, and Coinbase — the same Coinbase that built Base — it is the canonical standard for giving AI agents on-chain identity, reputation, and trust. kredz.xyz should not build alongside it; it should build **on top of it**.

What ERC-8004 Defines

Identity Registry	ERC-721-based on-chain handle for each agent resolving to a registration file: name, capabilities, service endpoints (MCP, A2A, web), and wallet. Gives every agent a portable, censorship-resistant passport.
Reputation Registry	Standard interface for posting and fetching feedback signals after interactions. Scoring occurs both on-chain for composability and off-chain for sophisticated algorithms — enabling specialized scoring services, auditor networks, and insurance pools.
Validation Registry	Generic hooks for requesting and recording independent validator checks including ZK-ML verifiers, TEE oracle attestations, and stake-backed re-execution. Third parties can trustlessly audit any agent's claimed outputs.

Why This Transforms kredz.xyz

- **The scoring AI becomes a trusted, discoverable agent**: Register the kredz scoring engine under ERC-8004 and any DeFi lending protocol on Base — or any EVM chain — can discover and trust it without a pre-existing relationship or API contract. The agent's scoring track record accumulates publicly in the Reputation Registry.
- **User credit reputation becomes portable across all EVM chains**: Every scored wallet is registered as a lightweight ERC-8004 agent. Their KREDZ Score history travels with them — from Base to Arbitrum to Polygon to Taiko. ERC-8004 uses CREATE2 for deterministic deployment: same contract address on every chain, register once, discoverable everywhere. Over 20,000 agents are already registered across 7+ chains.
- **Validation Registry enables trustless score auditing**: Third-party auditors can independently verify the kredz AI's scoring outputs via ZK-ML proofs or TEE attestations posted to the Validation Registry. This is the answer to the 'why should I trust your black-box AI score?' objection from institutional lending partners.
- **x402 micropayments monetize score queries natively**: ERC-8004 anticipates x402 (HTTP 402 'Payment Required' revived by Coinbase + Cloudflare) as the payment rail for agent services. kredz.xyz's B2B API revenue model slots directly in: score queries are paid automatically over HTTP in USDC with no billing infrastructure needed.
- **Agent-to-agent credit markets emerge on top of kredz data**: As agent economies mature, specialized insurance agents, underwriting agents, and risk pricing agents will emerge that consume credz reputation data directly. The Reputation and Validation registries become the raw input to an entire trustless lending ecosystem — kredz.xyz is the foundational data layer.

The Revised kredz.xyz Stack with ERC-8004

Layer	Component	What It Enables
ERC-8004 Identity Registry	kredz Scoring Agent + User wallet agents	Discoverable by any protocol on any EVM chain without pre-existing trust
ERC-8004 Reputation Registry	KREDZ Score history + repayment feedback	Portable, on-chain credit record; composable with any DeFi protocol
ERC-8004 Validation Registry	ZK-ML proofs + TEE attestations for AI outputs	Trustless third-party auditing of scoring model; institutional-grade credibility
x402 Payment Rail	HTTP-native USDC micropayments	B2B score query monetization with no billing infrastructure

> **The punchline: Without ERC-8004, kredz.xyz is a single-chain credit API. With ERC-8004, it becomes the canonical reputation layer for AI-native lending across every EVM chain — and the score follows the user wherever they go. Erik Reppel from Coinbase co-authored ERC-8004. Base is the natural home.**